HANGS Construction · October 2026 Payroll Reconciliation

HANGS Construction Development LP · Pay dates October 10 and October 24, 2026 · Prepared November 6, 2026. DRAFT memo from the Accounting Machine. Unsigned. Invented demonstration data. A person reviews and decides every entry; the machine never posts one or changes a payroll.

Both October payrolls, **$193,467.82** in all, tie from the employee lines to the registers, to 1400 and 6000, and to Brookline's two debits on the bank statement, to the cent. The payroll liability accounts clear to zero, the $45,529.14 of payroll taxes ties to the tax liability report and the deposits, and union dues, benefits and 401(k) tie to the remittance report. 3 exceptions need a person and 3 entries are proposed for $3,033.96. Nothing has been posted.

Register, Ledger and Bank

Pay Date	Register	Brookline	GL 1010	Bank Statement
October 10, 2026	$96,412.18	$96,412.18	$96,412.18	$96,412.18
October 24, 2026	$97,055.64	$97,055.64	$97,055.64	$97,055.64
October	**$193,467.82**	**$193,467.82**	**$193,467.82**	**$193,467.82**

Payroll Taxes

Pay Date	Federal Deposit	Deposited	Washington Premiums	Total, Tied to the Report
October 10, 2026	$21,639.62	October 15	$1,049.29	$22,688.91
October 24, 2026	$21,783.80	October 29	$1,056.43	$22,840.23

Union Dues, Benefits and Garnishments

Pay Date	Dues and Fringe	401(k)	Medical	Garnishment	Garnishment Status
October 10, 2026	$4,627.77	$3,312.66	$1,762.20	$312.50	Remitted October 13
October 24, 2026	$4,640.80	$3,340.45	$1,762.20	$312.50	Not remitted

Proposed Entries

Entry	Account	Debit	Credit	Support
AJ-01	1280 Funds Held by Payroll Provider	$312.50		Third-party remittance report; income withholding order
	2145 Garnishments Payable		$312.50	
AJ-02	1260 Payroll Overpayment Receivable	$2,597.13		Separation notice; employee roster; October 24 register
	6000 Salaries & Wages		$2,597.13	
AJ-03	1400 Construction in Progress	$124.33		October 24 register; union wage and fringe schedule
	2120 Accrued Payroll		$115.50	
	2130 Payroll Taxes Payable		$8.83	

Correct Before Close

Garnishment Not Remitted · E-115, October 24 · $312.50

PAY-5 Union Dues, Benefits and Garnishments (Payroll Procedures page 4): “Union dues and the employer's fringe contributions are remitted to the trust each month; 401(k) deferrals within three business

days of each pay date. Each garnishment is remitted to the agency within seven business days after the pay date, as the order requires. Amounts withheld and not remitted are a liability until they are paid."

The order requires $312.50 each pay period, remitted within 7 business days. The October 24 register withheld it, Brookline's funding took it from the bank, and GL 2145 was cleared as if it had been paid. Brookline's remittance report says otherwise: "Not remitted: payee remittance ID missing in Brookline". The October 10 payment went out on time. This one was due November 3 and is past due. AJ-01 puts the obligation back in 2145 Garnishments Payable and the money Brookline holds in 1280. Have Brookline add the remittance ID and pay it today, and keep the proof of payment with the order.

Proposed entry AJ-01, not posted: Reinstate the October 24 garnishment for E-115: withheld and funded, not remitted by the provider. Dr 1280 Funds Held by Payroll Provider $312.50; Cr 2145 Garnishments Payable $312.50. Reverses: No.
Follow-up: Payroll lead fixes the payee's remittance ID in Brookline and confirms the $312.50 payment (Payroll lead). Status: Open.

Overtime Paid at Straight Time · E-108, October 24 · $115.50

PAY-3 Overtime (Payroll Procedures page 3): "Hourly employees are paid 1.5 times their straight-time rate for hours over 40 in a workweek, as the union wage and fringe schedule requires. An underpayment is corrected on the next payroll and accrued at month-end."

The union schedule pays 1.5 times the straight-time rate over 40 hours a week. E-108 is a carpenter at $38.50, so overtime is $57.75 an hour; the October 24 register paid $38.50. 6 hours short by $19.25 is $115.50 owed to the employee, plus $8.83 of employer social security and Medicare. Of 14 overtime lines in October, this is the only one paid at the wrong rate. AJ-03 accrues the cost to job 27-05; pay it on the November 7 payroll and fix the overtime rate on this employee's record in Brookline.

Proposed entry AJ-03, not posted: Accrue the overtime shortfall for E-108, 6 hours paid at the straight-time rate on October 24. Dr 1400 Construction in Progress $124.33; Cr 2120 Accrued Payroll $115.50; Cr 2130 Payroll Taxes Payable $8.83. Reverses: Yes, November 1.
Follow-up: Pay E-108 $115.50 on the November 7 payroll and correct the overtime rate in Brookline (Payroll lead). Status: Open.

Needs a Person

Terminated Employee Still Paid · E-124, October 24 · $2,597.13

PAY-2 Terminations (Payroll Procedures page 2): "When an employee leaves, the payroll lead end-dates the employee in Brookline before the next payroll is processed. Final pay covers work through the last day worked. Any pay after that date is an overpayment and is recovered."

The separation notice gives October 9 as the last day worked, with final pay on the October 10 payroll, and HR shows the employee as terminated. Brookline still shows the employee as active, so the salary ran again for October 10 to October 23, 2026, a period that starts after the last day. Net pay of $1,784.97 was deposited. The cost to HANGS is $2,597.13: $2,250.00 of wages, $172.13 of employer social security and Medicare and $175.00 of benefits. AJ-02 moves it from 6000 Salaries & Wages to 1260 Payroll Overpayment Receivable. Recover the net pay from the former employee, have Brookline process a wage correction so the taxes come back on the fourth-quarter return, and end-date the employee. The close's RJ-05 accrual was computed from this register and carries $1,298.57 of this person's cost (5 of 10 workdays); reduce it by that amount.

Proposed entry AJ-02, not posted: Move the October 24 pay of E-124, who left October 9, out of wages to a receivable. Dr 1260 Payroll Overpayment Receivable $2,597.13; Cr 6000 Salaries & Wages $2,597.13. Reverses: No.
Follow-up: End-date E-124 in Brookline; request repayment of $1,784.97; reduce RJ-05 by $1,298.57 (Payroll lead). Status: Open.

Open Items and Sign-Off

Every entry above stays proposed until a person accepts it or changes it with a reason. Payroll corrections are made in Brookline by the payroll lead; entries are posted only after the Controller's review (PAY-6). Nothing has been posted. This memo is not a sign-off.

Prepared by: Accounting Machine (draft, unsigned)
Reviewed and approved by: _____ Controller · Date: _____